

26VECV01213 26VECV01213

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Case Number: 26VECV01213 Hearing Date: August 12, 2026 Dept: 107

SUPERIOR COURT OF THE
STATE OF CALIFORNIA

COUNTY OF LOS ANGELES

NORTHWEST DISTRICT

Kelly Ramirez,

Plaintiff.

v.

Mercedes-Benz USA, LLC

Defendant.

Case Number Department

26VECV01213 107

COURT'S [TENTATIVE]
ORDER RE:

Motion
to Compel Arbitration

[THE FOLLOWING IS A TENTATIVE RULING IN THE ABOVE CASE]:

Grant

I.

BACKGROUND

On

or about September 24, 2023, Plaintiff Kelly Ramirez ("Plaintiff") leased a 2023 Mercedes Light Tru (the "Vehicle"). (Complaint ¶ 6.) The Vehicle was defective. (Complaint ¶ 12.)

On

February 27, 2026, Plaintiff filed a complaint against Defendants Mercedes-Benz USA, LLC and Does 1 to 100, alleging causes of action for: (1) breach of implied warranty; (2) breach of express warranty; and (3) violation of the Song-Beverly Consumer Warranty Act.

On

June 29, 2026, Defendant Mercedes-Benz USA, LLC ("Defendant") filed a motion to compel arbitration (the "Motion"). On July 30, 2026, Plaintiff filed an opposition. On August 5, 2026, Defendant filed a reply.

II.

LEGAL

STANDARD

The

court is empowered to compel parties to arbitrate disputes pursuant to an agreement to do so. (Code Civ. Proc., § 1281.2.)

Under

9 United States Code section 2:

A

written provision in any maritime transaction or a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction, or the refusal to perform the whole or any part thereof, or an agreement in writing to submit to arbitration an existing controversy arising out of such a contract, transaction, or refusal, shall be valid, irrevocable, and enforceable, save

upon such grounds as exist at law or in equity for the revocation of any contract or as otherwise provided in chapter 4.

“California

law strongly favors arbitration ‘as a speedy and relatively inexpensive means of dispute resolution.’” (Villareal v. LAD-T, LLC (2022) 84 Cal.App.5th 446, 455.) “[T]here is a presumption in favor of arbitrability.” (Id. at p. 456.) “However, notwithstanding the policy favoring arbitration, because arbitration is a matter of consent, ‘a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.’” (Id.) Agreements to arbitrate are “valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (Id.)

“Because

the existence of the arbitration agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence. If the party opposing the petition raises a defense to enforcement . . . that party bears the burden of producing evidence of, and proving by a preponderance of the evidence, any fact necessary to the defense.” (Villareal v. LAD-T, LLC, supra, 84 Cal.App.5th at p. 456, brackets removed.)

III.

DISCUSSION

The Arbitration Provision

The

petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (Villareal v. LAD-T, LLC, supra, 84 Cal.App.5th at p. 456.)

Defendant

argues the court should compel arbitration because the Lease Agreement (“Lease”) contains a binding arbitration provision. (Memorandum pp. 6-8.)

Defendant

submits the Lease as an exhibit. (Gruzman Declaration ¶ 3; Ex. B.) The Lease contains an arbitration provision, which states, in relevant part:

Any

claim or dispute, whether in contract, tort, or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third Party Beneficiary"), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action. Any claim or dispute is to be arbitrated on an individual basis and not as a class action. The arbitration shall be administered by the American Arbitration Association, or by any other organization that you may choose, subject to our or a Third Party Beneficiary's approval. You may get a copy of the rules of the American Arbitration Association by visiting its website at www.adr.org.

(Guzman

Declaration Ex. B pdf p. 16.) The arbitration provision expressly states it is governed by the Federal Arbitration Act. (Guzman Declaration Ex. B pdf p. 16.)

The Lease is signed by Plaintiff. (Guzman Declaration ¶ 3; Ex. B pdf p. 17.)

Plaintiff does not challenge the authenticity of the signature. Thus, Defendant meets its burden of showing a valid arbitration agreement exists.

Third-Party Beneficiary

Defendant

argues it may compel arbitration as an express third-party beneficiary under the Lease. (Memorandum pp. 13-14.)

In

opposition, Plaintiff argues the Lease's identifying Defendant is insufficient and "[t]he Court must still determine the scope of the benefit the contracting parties intended to confer." (Memorandum p. 5.) Plaintiff further argues that the Lease does not show the parties intended to require arbitration of statutory warranty claims because the Lease is a financing document and it does not address a manufacturer's statutory warranty obligations under the Song-Beverly Consumer Warranty Act. (Memorandum p. 5.) Plaintiff also argues the complaint does not seek to enforce a provision in the Lease. (Memorandum p. 5.)

In

reply, Defendant argues that when Plaintiff entered into the Lease, they gained manufacturer warranties and those warranties required plaintiff to take the Vehicle to an authorized repair facility for repairs. (Reply p. 6.) Defendant also argues that “Plaintiff specifically contracted to lease a warranted vehicle, and she would not have paid the money she did for the Subject Vehicle if it did not come with manufacturer warranties” and “the Lease is the source of the warranties at the heart of this case, and Plaintiff’s claims for breaches of those exact same warranties are necessarily and inextricably intertwined with the Lease.” (Reply p. 6.)

Plaintiff

cites “Olson v. FCA US LLC (9th Cir. 2026) 187 F.4th 1094” for the proposition “where a nonsignatory manufacturer’s authority to invoke an arbitration agreement is disputed, that issue must be resolved by the Court before any delegation provision becomes operative.” (Opposition p. 4.)

The

court cannot locate a case with the cite “Olson v. FCA US LLC (9th Cir. 2026) 187 F.4th 1094.” The court believes Plaintiff intended to cite Olson v. FCA US, LLC (“Olson”) (9th Cir. 2026) 176 F.4th 612. In Olson, supra, 176 F.4th at p. 618, the defendant FCA US, LLC argued that “if a court concludes that a party has entered into any valid arbitration agreement that contains a delegation clause, the court must send all questions about the scope of that agreement to an arbitrator, regardless of the identity of the party invoking the delegation clause.” The Court rejected that argument, noting that it “suggests that FCA could locate an arbitration agreement with a delegation clause that Olson entered with his cell phone provider, use that agreement to move to compel arbitration of the present automobile dispute, and thereby force a court to send the case to an arbitrator to let the arbitrator decide whether the cell phone arbitration agreement covered the automobile dispute.” (Id. at pp. 619-620.)

Defendant

argues that the Lease contains a delegation clause so disputes over whether the Lease applies to Plaintiff’s claims should be decided by the arbitrator. (Memorandum pp. 14-15.) However, the court does not understand Defendant’s argument to be that the parties delegated the question of whether Defendant may enforce the Lease’s arbitration

provision, but rather whether the Lease applies to Plaintiff's claims is a matter that has been delegated to the arbitrator. (See Memorandum p. 15.)

“The general rule is that one must be a party to an arbitration agreement either to be bound by or to invoke it.” (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1128.) Under the third party beneficiary doctrine, the court considers: “(1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (“Goonewardene”) (2019) 6 Cal.5th 817, 830.) “All three elements must be satisfied to permit the third party action to go forward.” (Id.)

In Ford Motor Warranty Cases, *supra*, 17 Cal.5th at pp. 1125-1126, 1128, 1138, the Supreme Court of California held that the non-signatory manufacturer, Ford Motor Company, could not compel arbitration by relying on arbitration clauses in sales contracts between the buyers and seller dealerships. The Court noted that the sales contracts were between the plaintiffs and the respective dealers and “[t]here is no question here that Ford is not a party to those contracts, and plaintiffs did not expressly agree to arbitrate any dispute with Ford.” (Id. at p. 1128.)

The arbitration provision here is distinguishable from the arbitration provision at issue in Ford Motor Warranty Cases because it expressly states that Defendant is a “Third Party Beneficiary” and that Third Party Beneficiaries may compel arbitration. (Gruzman Declaration Ex. B pdf p. 16.)

The court understands Plaintiff's argument that the Lease concerns financing. But the Lease's arbitration provision states:

Any claim or dispute, whether in contract, tort, or

otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to . . . any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.

(Gruzman Declaration Ex. B pdf p. 16, italics added.)

Plaintiff alleges they leased the Vehicle and Defendant “provided an express written warranty relating to the VEHICLE.” (Complaint ¶ 6.) Plaintiff’s relationship with Defendant arose out of the Lease because the Lease was the impetus for Plaintiff’s relationship with Defendant.

These provisions show: (1) Defendant would benefit from the Lease; (2) a motivating purpose of the contracting parties was to benefit Defendant; and (3) permitting Defendant to compel arbitration would be consistent with the reasonable expectations of the contracting parties, because they expressly agreed Defendant could compel arbitration. Thus, the Lease’s arbitration provision meets the elements identified in *Goonewardene*.

The court determines Defendant may compel arbitration as a third party beneficiary. Thus, the court need not consider the parties’ arguments relating to equitable estoppel. (Memorandum pp. 11-13; Opposition pp. 8-9.)

The Arbitration Provision’s
Scope

Defendant

argues disputes over the scope of the arbitration clause must be decided by the arbitrator because the arbitration provision contains a delegation clause. (Memorandum pp. 14-15.)

“[C]hallenges

to the validity of [an] arbitration clause itself are generally resolved by the court in the first instance. [Citations.] An exception to this rule applies when the parties have clearly and unmistakably agreed to delegate questions

regarding the validity of the arbitration clause to the arbitrator.” (Nielsen Contracting, Inc. v. Applied Underwriters, Inc. (2018) 22 Cal.App.5th 1096, 1108.)

The
Lease states:

Any
claim or dispute, whether in contract, tort, or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.

(Gruzman
Declaration Ex. B pdf p. 16.)

Thus,
the arbitration provision delegates disputes over the scope of the arbitration provision to the arbitrator.

IV.
STAY
PROCEEDINGS

Defendant
requests the court stay the proceedings until arbitration is complete. (Memorandum pp. 15-16.)

Code
of Civil Procedure section 1281.4 states, in relevant part:

If a court of competent
jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is

pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.

Accordingly,
the court stays the action.

V.

CONCLUSION

2

For the foregoing reasons, the
Motion is granted. The court stays the action pending the outcome
of arbitration.

Dated: August 12, 2026 _____ Hon. Eric Harmon

Judge
of the Superior Court